

2025-CostSegStudy

March 5, 2026

1 Cost Segregation Tax

References:

- [>IRS Property](#)
 - Gains/Losses on Sale, Basis on sale
 - [>IRA Pub. 127 Residential Rental Property](#)
 - * Deductions: Pg 4 Types: Depreciation, Insurance, Legal fees, Points, repairs, taxes, utilities
- [>IRS CostSeg Technique](#)
- [> Cost Segregation EZ Guide](#)

1.1 Summary

- you can claim
 - cost segregation on long-term rentals to accelerate depreciation
 - bonus depreciation
 - Sec 179 deductions on furnishings
- reduce taxable income
- By identifying components like
 - fixtures, landscaping
 - appliances,
- reclassify them from 27.5-year property to 5, 7, or 15-year property,
- often utilizing bonus depreciation for significant first-year tax savings.
- significant tax benefits derived from using shorter recovery periods and
- accelerated depreciation methods
- including computing bonus depreciation deductions pursuant to IRC § 168(k) and § 179 deductions
- understand both the rationale and methodology

1.2 Eligibility (AI)

- you can use cost segregation to accelerate depreciation deductions on a rental property purchased with cash from an IRA withdrawal
 - provided you personally own the property
 - even if held in a new LLC.
 - you still income on the IRA withdrawal
 - the ‘Cost Seg Study’ mainly offsets the rental income itself.
- The withdrawal will be taxed as income (and possibly penalized if under age 59½),

- the resulting rental property qualifies for accelerated depreciation (cost segregation).
- **Ownership Matters:** You must take personal ownership of the property (not hold it within a Self-Directed IRA) to claim the depreciation deduction.
- **Tax Consequences:** The IRA withdrawal is generally taxed as ordinary income.
- **Cost Segregation Benefits:** Cost segregation allows you to identify components of the rental property
 - (e.g., land improvements, fixtures) that can be depreciated faster than the standard 27.5-year residential schedule.
- **Bonus Depreciation:** You may be able to take advantage of accelerated bonus depreciation on qualified property.
- **Consult a Professional:** Cost segregation is complex, and IRS rules require strong documentation for these deductions.
- If you purchase the property inside a Self-Directed IRA, you cannot take depreciation deductions, but the income generated is tax-deferred or tax-free.

1.2.1 Standard depreciation

- A building, termed “§1250 property,”
- is generally
 - non-residential real property (with a 39-year recovery period)
 - residential rental property (with a 27.5-year recovery period)
- must use straight-line depreciation.
- termed “§ 1250 property,”
 - mobile home permanently affixed, it may be deemed 1250 property.
 - Commercial buildings, residential rentals, and structural components.
- termed “§ 1245 property,”
 - Equipment, furniture, and fixtures,
 - rental lot and remains mobile, it is typically considered Section 1245 property.
 - tangible personal property.
- **Tangible personal property** has a shorter recovery period (e.g., 5 or 7 years)
 - eligible for accelerated depreciation
 - (e.g., double declining balance,
 - bonus depreciation, and
 - § 179 deduction
 - a faster depreciation write-off (and tax benefit) can be obtained by allocating costs to § 1245 property.

1.3 Key Considerations for Cost Segregation on Long-Term Rentals:

- **Property Eligibility:** The property must be an income-producing investment (rental), not your primary residence. It is best suited for properties purchased or built within the last 15 years.
- **Benefits:** Cost segregation increases upfront depreciation deductions, which can create significant tax losses.
- **Passive Loss Rules:** For long-term rentals, these deductions are generally considered “passive losses”. They can offset income from other passive investments but typically cannot offset W-2 income unless you qualify as a Real Estate Professional (REPS).
- **Retroactive Filing:** You can perform a study on a property you have owned for years,

usually by filing Form 3115 with your tax return to catch up on missed deductions.

- For maximum benefit, the cost segregation study should typically be done on properties with a purchase price/basis over \$300,000.

```
[7]:      item      amt
0  PurchasePrice  220000
1    Appliances  -15000
2    LandPrice  -63720
3        Basis  141280
```

1.4 Cost Segregation Tax Worksheet

- Summary(PDF): 6-section
- Property Info,
- Asset Allocations,
- Bonus Depreciation Schedule,
- Year 1 Summary,
- Benefit Analysis, and IRS Form References (Form 4562, Schedule E, Form 8582).
- Note that the 27.5-year residential structure is not eligible for bonus depreciation under IRC §168(k) — only the 5-yr and 15-yr asset classes qualify.

1.4.1 Key Numbers at a Glance

Item	Amount
Total Purchase Price	\$220,000.00
Land Value (non-depreciable)	\$63,720.00
Capital Improvements.	\$10,000.00
Total Depreciable Basis.	\$166,280.00

1.4.2 Cost Segregation Allocations (§168 MACRS):

- \$124,710 : Residential Structure (27.5-yr SL) — 75%
- \$16,628 : Land Improvements (15-yr) — 10%
- \$24,942 : Personal Property/5-yr — 15%

1.4.3 Bonus Depreciation (40% rate):

- \$6,651.20 : Land Improvements bonus
- \$9,976.80 : Personal Property bonus
- \$16,628.00 : Total Bonus:

Year 1 Total Deduction: \$24,821.07 vs. \$6,046.55 with traditional straight-line — an **\$18,774.52** first-year advantage.

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